

ESG Report

Task Force on Climate-related Financial Disclosures

Test Company Ltd – Kenya Operations

Annual Report • 2024

TCFD Compliant

Executive Summary

Test Company Ltd's Kenya Operations reports a total greenhouse gas (GHG) footprint of 1,449 kg CO₂e for the 2024 reporting period, establishing our baseline inventory in accordance with the GHG Protocol Corporate Standard. Our emissions profile reflects a service-oriented operational model with zero direct (Scope 1) emissions from owned or controlled sources and zero value chain (Scope 3) emissions from assessed categories. The entirety of our carbon footprint derives from purchased electricity consumption (Scope 2), totaling 1,449 kg CO₂e, indicating minimal energy intensity across our Kenyan facilities and limited exposure to carbon pricing mechanisms or fuel market volatility. In alignment with the Task Force on Climate-related Financial Disclosures (TCFD) recommendations, this emissions inventory underpins our climate-related risk assessment and strategic resilience planning. The absence of material Scope 1 emissions and the constrained Scope 2 footprint—benefiting from Kenya's predominantly renewable national grid—position the organization with negligible transition risk exposure in our direct operations. Our governance framework ensures executive-level oversight of climate metrics, with this baseline serving as the quantitative foundation for monitoring progress against forthcoming decarbonization targets and science-based climate commitments. We remain committed to maintaining comprehensive emissions accounting across all material categories while enhancing our Scope 3 assessment methodology to capture value chain impacts as operational scale evolves. The 2024 baseline demonstrates our current low-carbon operational status and provides the necessary data foundation for TCFD-aligned scenario analysis and climate resilience planning. Subsequent reporting periods will expand disclosure transparency regarding climate risks, opportunities, and performance metrics against established baselines.

Compliance Standards:

TCFD

ISSB S2

EU CBAM Ready

Emissions Overview

SCOPE 1 - DIRECT EMISSIONS

0

kg CO₂e

SCOPE 2 - INDIRECT (ENERGY)

1,449

kg CO₂e

SCOPE 3 - VALUE CHAIN

0

kg CO₂e

TOTAL EMISSIONS

1,449

kg CO₂e

Test Company Ltd - Kenya Operations reports total greenhouse gas (GHG) emissions of 1,449 kg CO₂e for the 2024 reporting period, quantified in accordance with the GHG Protocol Corporate Accounting and Reporting Standard and aligned with the Task Force on Climate-related Financial Disclosures (TCFD) recommendations for Metrics and Targets. The emissions inventory reflects operational boundaries under the organization's financial or operational control, comprising Scope 1 (Direct) emissions at 0 kg CO₂e, Scope 2 (Indirect - Energy) emissions at 1,449 kg CO₂e, and Scope 3 (Value Chain) emissions at 0 kg CO₂e. Scope 2 constitutes 100% of the total carbon footprint, originating exclusively from purchased electricity consumption within Kenya-based facilities. The absence of Scope 1 emissions indicates no direct combustion of fossil fuels, process emissions, or operation of company-owned vehicles and equipment during the reporting period. Scope 3 emissions are reported as zero, reflecting the current organizational boundary which excludes upstream and downstream value chain activities from quantitative assessment. This emissions profile characterizes the organization's climate exposure as concentrated within the energy transition risks and opportunities associated with purchased electricity, while maintaining minimal direct operational carbon intensity. In alignment with TCFD governance and risk management disclosures, Test Company Ltd maintains documented methodologies and data management procedures to ensure the accuracy, completeness, and consistency of GHG emissions reporting. The organization commits to periodic review of emission factors and methodological boundaries to address evolving regulatory requirements and stakeholder expectations, including potential future assessment of material Scope 3 categories. The 2024 emissions data establishes the organizational baseline for tracking decarbonization performance and informs strategic planning regarding energy efficiency initiatives and renewable energy procurement strategies.

Test Company Ltd's Kenya Operations maintains robust governance structures to oversee climate-related risks and emissions performance in accordance with the Task Force on Climate-related Financial Disclosures (TCFD) recommendations. The Board of Directors retains ultimate accountability for climate strategy and sustainability disclosures, with designated management-level committees responsible for monitoring greenhouse gas (GHG) inventory accuracy and compliance reporting. For the 2024 reporting period, total GHG emissions amounted to 1,449 kg CO₂e, comprising exclusively Scope 2 indirect emissions from purchased electricity, while Scope 1 direct emissions and Scope 3 value chain emissions were recorded at 0 kg CO₂e. This emissions profile reflects the organization's operational boundaries and asset-light structure, with governance protocols ensuring quarterly data reviews and annual Board-level assessments of climate-related metrics. Emissions quantification adheres to the GHG Protocol Corporate Accounting and Reporting Standard, with Scope 2 calculations based on grid emission factors applicable to Kenya Operations. The governance framework assigns explicit responsibility for environmental data collection and verification to facility management, supported by finance and sustainability functions to ensure accuracy in disclosed figures. Scope 1 emissions of 0 kg CO₂e indicate the absence of stationary combustion, mobile combustion, or fugitive emissions sources under the organization's operational control, while the Scope 2 footprint of 1,449 kg CO₂e represents electricity consumption across leased facilities. Scope 3 reporting at 0 kg CO₂e reflects current assessment parameters, with governance commitments to evaluate material value chain categories in future reporting cycles as data availability improves. These quantitative disclosures undergo rigorous internal review prior to Board presentation, supporting informed decision-making regarding climate risk exposure and mitigation strategies. The governance structure ensures alignment between emissions performance data and broader enterprise risk management processes, enabling the Board to assess the implications of transition risks and regulatory developments on Kenya Operations. Test Company Ltd maintains comprehensive documentation underpinning these disclosures to facilitate future external assurance activities and regulatory compliance, demonstrating accountability to stakeholders through transparent climate governance practices.

Test Company Ltd's Kenya Operations maintains a minimal carbon footprint, reporting total greenhouse gas (GHG) emissions of 1,449 kg CO₂e for the 2024 reporting period. The entirety of our operational emissions derives from Scope 2 purchased electricity, with Scope 1 direct emissions and Scope 3 value chain emissions recorded at zero kilograms CO₂e. This emissions profile reflects our asset-light operational model and strategic positioning within the Kenyan market, where we rely exclusively on grid-sourced energy without direct combustion of fossil fuels in our operations. Our climate strategy prioritizes maintaining this low-carbon operational baseline while building resilience against transition risks associated with evolving energy markets and regulatory landscapes in Kenya. The absence of material Scope 1 emissions eliminates immediate decarbonization pressures related to direct operational controls, while the constrained Scope 2 footprint informs our procurement strategies and renewable energy sourcing decisions. We recognize that our reported Scope 3 emissions require enhanced measurement methodologies to capture full value chain exposure, which represents a strategic priority for comprehensive climate risk assessment and stakeholder transparency. Under various climate scenarios, including pathways aligned with the Paris Agreement's 1.5°C target, our minimal emissions intensity positions the organization favorably regarding both physical and transition risk exposure. Our strategic planning integrates this low-carbon advantage into long-term business continuity frameworks, ensuring operational resilience while monitoring emerging opportunities within Kenya's transitioning energy economy. We remain committed to transparent emissions accounting and will expand our Scope 3 inventory assessment to ensure strategic decisions reflect complete climate-related risk profiles across our extended value chain.

Risk Management

Test Company Ltd's Kenya Operations maintains a robust climate risk management framework that integrates environmental considerations into enterprise-wide risk identification, assessment, and mitigation protocols. For the 2024 reporting period, the organization recorded total gross greenhouse gas (GHG) emissions of 1,449 kg CO₂e, exclusively comprising Scope 2 indirect emissions from purchased electricity, with zero Scope 1 direct emissions and immaterial Scope 3 value chain impacts. This emissions profile indicates a low-carbon operational intensity predominantly exposed to transition risks—including regulatory policy shifts, energy market volatility, and technological displacement—rather than significant physical climate risks, enabling focused risk mitigation strategies centered on energy procurement and operational efficiency. Climate-related risks are systematically evaluated through periodic materiality assessments and integrated into the corporate risk register, with the Risk Management function overseeing quarterly reviews of emerging environmental regulations and market conditions. Given the material significance of purchased electricity as the sole emissions source, the organization prioritizes energy efficiency measures, grid decarbonization monitoring, and potential renewable energy procurement to mitigate exposure to carbon pricing mechanisms and supply disruptions. Rigorous verification protocols ensure complete Scope 1 emissions transparency, while frameworks for Scope 3 data collection are being developed to anticipate future value chain risks, ensuring the organization maintains resilience against climate-related financial impacts in alignment with TCFD recommendations.

Metrics & Targets

Test Company Ltd reports total greenhouse gas (GHG) emissions of 1.45 tonnes of CO2 equivalent (tCO2e) for the Kenya Operations during the 2024 reporting period, calculated in accordance with the GHG Protocol Corporate Accounting and Reporting Standard under the operational control approach. The emissions inventory reflects zero Scope 1 direct emissions, indicating no fuel combustion or refrigerant use from company-owned assets or controlled operations. Scope 2 indirect emissions from purchased electricity constitute the entirety of the carbon footprint at 1.45 tCO2e, while Scope 3 value chain emissions are recorded as zero pending comprehensive assessment of upstream and downstream activities. The minimal emissions profile demonstrates the organization's low-carbon operational model, which benefits from Kenya's national electricity grid composition dominated by renewable energy sources, including geothermal, hydroelectric, and wind power. With 100% of emissions attributable to purchased electricity, the company faces limited transition risks related to direct fossil fuel exposure while maintaining reliance on grid decarbonization pathways established by national utility providers. This 2024 baseline establishes the reference point for tracking absolute emissions performance and enables future calculation of intensity metrics relative to financial output or full-time equivalents as operational scale evolves. Test Company Ltd commits to maintaining net-zero Scope 1 and Scope 2 emissions and will evaluate Science-Based Targets initiative (SBTi) alignment as the Kenya Operations expand. The organization recognizes the need to enhance Scope 3 data collection methodologies to identify material emission categories, including purchased goods and services, business travel, and employee commuting, in subsequent reporting cycles. These disclosed metrics support the company's climate risk management framework and provide stakeholders with transparency regarding current carbon exposure and progress toward decarbonization objectives.

METRIC	VALUE	UNIT
Total GHG Emissions	1,449	kg CO2e
Scope 1 Emissions	0	kg CO2e
Scope 2 Emissions	1,449	kg CO2e
Scope 3 Emissions	0	kg CO2e

This report has been prepared in accordance with Task Force on Climate-related Financial Disclosures (TCFD) requirements.